

Entrepreneurial internationalisation of Nepalese artisanal firms: a dynamic capabilities perspective

Nepalese
artisanal firms

1369

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Received 25 September 2020
Revised 23 February 2021
28 September 2021
30 January 2022
10 March 2022
Accepted 14 March 2022

Abstract

Purpose – This research explores the role of entrepreneurs' dynamic capabilities in small artisanal firms' entrepreneurial internationalisation.

Design/methodology/approach – The paper applies an inductive, exploratory multiple case study approach to the empirical context of the Nepalese artisanal sector. Primary data were collected through interviews and observations and triangulated by secondary data, such as firms' websites and social media profiles.

Findings – The findings suggest that entrepreneurs' network utilisation, network-building and marketing capabilities are crucial to enabling small artisanal firms' entrepreneurial internationalisation. Entrepreneurs' network-retaining, market-oriented learning and innovative capabilities become more important as firms mature. Accordingly, the paper theorises that artisan entrepreneurs in a developing economy should build and apply different dynamic capabilities based on firms' internationalisation phase.

Originality/value – The fine-grained discussion of the findings and the six propositions from this study advance the current understanding of dynamic capabilities, entrepreneurial internationalisation and artisan entrepreneurship literature.

Keywords Dynamic capabilities, Entrepreneurial internationalisation, International entrepreneurship, Artisanal sector, Artisan entrepreneurship, Small firms, Developing economy, Nepal

Paper type Research paper

Introduction

Research on entrepreneurial internationalisation emerged in the late 1980s when international entrepreneurship scholars strove to understand the ventures that appear to follow accelerated internationalisation paths (Zucchella, 2021). Entrepreneurial internationalisation is a strategy combining innovative, proactive and risk-seeking behaviour that crosses national borders intending to create organisational value (McDougall and Oviatt, 2000). While entrepreneurial internationalisation enables firms to leverage early international growth opportunities, this strategy also exposes firms to uncertainty threatening their long-term growth and survival (Mudambi and Zahra, 2007). However, the existing entrepreneurial internationalisation literature dedicates much attention to firms' early internationalisation behaviours. Consequently, there remains a dearth of knowledge about how these ventures should develop and execute their competitive strategies so they can thrive beyond their early internationalisation. Further, despite three decades of research, entrepreneurial internationalisation research in developing economies remains surprisingly scant (Chandra *et al.*, 2020; Nuhu *et al.*, 2021).

Small firms must navigate the liabilities of newness, smallness and foreignness to facilitate their entrepreneurial internationalisation (Mudambi and Zahra, 2007). These



International Journal of
Entrepreneurial Behavior &
Research
Vol. 28 No. 6, 2022
pp. 1369-1390
© Emerald Publishing Limited
1355-2554
DOI 10.1108/IJEBR-09-2020-0635

The authors are grateful to the editor and anonymous reviewers for their constructive suggestions and guidance throughout the review process. The authors further thank Dr Bisrat Misganaw for his feedback on the earlier version of this paper.

ventures often lack proper network supports to grow internationally, resulting in the liability of outsidership (Johanson and Vahlne, 2009). Also, small firms in developing economies suffer from institutional voids (Eijdenberg *et al.*, 2019). Institutional voids occur when home institutions which are supposed to support entrepreneurship are absent, weak or evolving (Webb *et al.*, 2020). Given all these constraints, how small firms from developing economies manage to enable and sustain their entrepreneurial internationalisation has remained a question of enduring interest amongst scholars and practitioners. Prior research suggests that due to insufficient organisational resources, dynamic capabilities (DCs) of firms' key individuals are likely to be vital for small firms' entrepreneurial internationalisation (Weerawardena *et al.*, 2007). Indeed, in their systematic literature review of international entrepreneurship in developing economies, Kiss *et al.* (2012, p. 277) note, "... individual level characteristics are actually more important than firm and industry level characteristics in overcoming resource constraints and market adversity when founding, managing and internationalising firms from such areas ...".

The current DCs research mainly emphasises the aggregate or firm level of analysis. Consequently, knowledge is still scant about DCs' micro-foundations (Felin *et al.*, 2012; Kevill *et al.*, 2017). Micro-foundations of DCs literature suggest that the firms' capacity to sense and seize opportunities to change their resource bases and routines in response to environmental dynamism ultimately relies on key individuals within these firms (Teece, 2012). The smaller a firm, the more its capabilities are likely to depend on the entrepreneur or a few firms' individuals (Ambrosini and Bowman, 2009). Thus, by building on the literature of entrepreneurial internationalisation and DCs, this study asks the following research question: *how do entrepreneurs' DCs facilitate small firms' entrepreneurial internationalisation in a developing economy?*

The paper utilises the context of small firms operating in Nepal's artisanal sector to answer the proposed research question. Accordingly, the article unravels the entrepreneurial internationalisation of small Nepalese artisanal firms and the roles of entrepreneurs' DCs in this regard. By doing so, this research contributes to three streams of research. First, by creating a crucial understanding of how entrepreneurs build and apply six DCs in small firms' entrepreneurial internationalisation, this paper addresses the existing knowledge gap about the micro-foundations of DCs as outlined by scholars (Kevill *et al.*, 2017; Felin *et al.*, 2012). Second, by exploring the roles of entrepreneurs' DCs in enabling and sustaining small Nepalese firms' entrepreneurial internationalisation, this article advances the current entrepreneurial internationalisation literature, which is relatively silent about firms in developing economies (Chandra *et al.*, 2020). Also, the existing entrepreneurial internationalisation research has paid insufficient attention to international ventures' post-entry growth and survival (Khan and Lew, 2018), particularly from the DCs perspective (Kahiya and Warwood, 2022). This study's findings contribute to filling these knowledge voids. Finally, the paper contributes to artisan entrepreneurship literature that blends culture and entrepreneurship (Ratten *et al.*, 2019). Despite their increasing importance, artisan entrepreneurship literature has overlooked growth-aspiring artisan entrepreneurs and their creative ventures (Pret and Cogan, 2019). Also, artisan entrepreneurship is scantily researched in developing economies. The present study lessens this knowledge gap by unfolding how artisan entrepreneurs in a developing economy can lead their ventures towards entrepreneurial internationalisation by building and applying DCs.

The remaining sections of the article are structured as follows. The next section presents an overview of DCs theory, their micro-foundations, types and connection with the artisanal sector. Subsequently, the data collection and methodological procedures are described. After that, case findings are presented and discussed. Lastly, theoretical contributions, practical implications, study limitations and conclusion are presented.

Dynamic capabilities theory

The DCs perspective gained scholarly attention from the early 1990s. In their seminal paper, Teece *et al.* (1997) define DCs as firms' ability to integrate, build and reconfigure internal and external competencies. Eisenhardt and Martin (2000) describe DCs as the specific processes by which firms achieve new resource reconfiguration. Zollo and Winter (2002) explain DCs as the learnt and stable patterns of collective activities by which firms change their operating routines. Teece (2007) elaborates DCs as the firms' capacity to sense and seize outside opportunities and continuously reconfigure resources. Despite different scholarly definitions, DCs are mostly understood as the processes by which firms develop, create and sustain their competitive advantage and capture value by persistently changing valuable resources (Suddaby *et al.*, 2020; Ambrosini and Bowman, 2009). Since this research aims to explore entrepreneurs' capabilities, it adopts the definition of DCs proposed by Zahra *et al.* (2006). According to Zahra *et al.* (2006), DCs are "the abilities to reconfigure a firm's resources and routines in the manner envisioned and deemed appropriate by its principal decision-maker(s)" (p. 918). This definition makes a useful connection between entrepreneurship and DCs. It implies that DCs result from owners' and key employees' motivation, skills and experience, which enable firms to adapt and evolve continuously regardless of their size and age.

Micro-foundations of DCs

Despite increasing research, DCs are often criticised as being abstract concepts or elusive black boxes (Pavlou and El Sawy, 2011). This may be because the current DC studies focus primarily on the aggregate or organisational level (Felin *et al.*, 2012). In this regard, Kevill *et al.* (2017) suggest that emphasis on the micro-foundations of DCs can be a crucial avenue to open these black boxes. The micro-foundations research captures and considers lower-level entities, making DCs theory more relevant for managers and practitioners by anchoring the more abstract macro-concepts (Foss and Pedersen, 2019; Felin *et al.*, 2012). Indeed, Coviello *et al.* (2017) argue that to understand the firm's internationalisation behaviour, first, we must understand the individual(s)—who are driving the firm. Any decision or action concerning internationalisation at the firm level derives from an individual's behaviour comprising that organisation (Coviello, 2015). Although the micro-foundations literature has recently attracted some attention in international business and entrepreneurial internationalisation literature (e.g. Foss and Pedersen, 2019; Coviello *et al.*, 2017), this research is mostly conceptual. Thus, to extend the current theoretical understanding of the micro-foundations of DCs and their roles in a firm's entrepreneurial internationalisation, there is a need for more empirical studies on this issue. Accordingly, this research explores how small firms' entrepreneurs utilise different sets of DCs to enhance their firms' entrepreneurial internationalisation.

Types of DCs

DCs are not resources *per se* but encompass the processes and routines that impact firms' resource bases (Ambrosini and Bowman, 2009; Teece, 2007). The current literature suggests that diverse DCs can be applied to integrate, reconfigure, create and shed resources. For example, scholars discuss absorptive capability (e.g. Cohen and Levinthal, 1990), innovation capability (e.g. Lawson and Samson, 2001) and marketing capability (e.g. Evers *et al.*, 2012). Similarly, the literature suggests that several DCs can play crucial roles in firms' entrepreneurial internationalisation. The recent systematic literature review of capabilities and firms' early internationalisation by Kahiya and Warwood (2022) reveals five pivotal DCs: absorptive, ambidexterity, dynamic managerial, dynamic learning and dynamic social capital capabilities. Likewise, in their conceptual work, Weerawardena *et al.* (2007) stress that

market-focussed learning, internally focussed learning, networking and marketing capabilities are critical DCs for firms' entrepreneurial internationalisation. The present research study is inspired by these DCs' conceptualisations of [Weerawardena et al. \(2007\)](#) because they were developed by drawing on the DCs and international entrepreneurship literature. Also, these conceptualisations are relevant for smaller firms that follow the accelerated internationalisation path. [Weerawardena et al. \(2007\)](#) further argue that there is a need for empirical research that gathers data from multiple sources and establishes a chain of evidence about the implications of these various DCs in firms' entrepreneurial internationalisation. The present study is motivated by this research call.

Furthermore, despite significant progress in studying DCs and their types, the existing research mainly stresses the firm level. As a result, understanding remains sparse about how firms' key individuals develop and apply DCs to firms' internationalisation. Moreover, the existing DCs' categorisations, and analysis of them, are done mainly by considering large or high-technology-based firms from developed economies. Some recent DCs literature stresses developing/emerging economies, but this research focusses on the service sector (e.g. [Uner et al., 2020](#)) or technology-based international ventures (e.g. [Khan and Lew, 2018](#)). However, there is still limited understanding regarding whether the existing DCs and their types apply to small international firms in a traditional sector of a developing economy.

Why is DCs an essential theoretical lens to explore artisanal firms?

Artisanal/handicraft firms are an integral part of the cultural industries which combine businesses and culture ([Ratten et al., 2019](#); [Pret and Cogan, 2019](#)). Artisanal ventures in the form of small businesses are an essential source of employment and self-employment in developing countries ([Shafi, 2020](#)). Such firms offer products that are either entirely made by hand or with the help of hand tools or machinery. As such, the direct manual contribution of artisans remains the most substantial component of these firms' final products ([UNESCO, 1997](#)). Thus, artisanal firms mainly rely on traditional production and design. Nonetheless, following recent globalisation, even artisanal entrepreneurs and their ventures are increasingly facing external threats and competition, making innovation and DCs crucial for sustaining their competitive advantage ([Shafi, 2020](#)). In this respect, exploring how DCs can enable and sustain the entrepreneurial internationalisation of small artisanal firms is particularly intriguing. Furthermore, as the mainstream DCs research mainly emphasises knowledge-intensive ventures, this study's focus on the artisanal/traditional sector is imperative to augment the current DCs' theoretical scope.

Methodology

Research design

This research explores the role of entrepreneurs' DCs in small artisanal firms' entrepreneurial internationalisation. The paper follows a multiple-case-study strategy to achieve the research purpose, which is appropriate for inductive theory-building research ([Eisenhardt and Graebner, 2007](#)). Case studies enable a fine-grained investigation and provide rich contextualised qualitative data ([Dubois and Gadde, 2002](#)), allowing to understand the development and deployment of entrepreneurs' DCs in small firms. Additionally, scholars suggest increasing the number of qualitative field investigations to open the black box of DCs (e.g. [Ambrosini and Bowman, 2009](#); [Teece, 2012](#)).

The artisanal sector in Nepal

Nepal is renowned for its rich culture ([Shakya, 2011](#)). This cultural richness is reflected in its artisanal products (e.g. arts, jewellery), made mainly by ethnic and marginalised groups

(Nepal Economic Forum, 2019). Although Nepalese artisanal products date back several centuries, they gradually gained international attention after 1960, as this Himalayan nation opened for tourists (Nepal Economic Forum, 2019). However, Nepalese artisanal firms are still struggling to gain proper international exposure despite having immense opportunities. Moreover, academic research about Nepalese artisan entrepreneurs and their creative ventures is almost non-existent. In this respect, it is essential to explore how DCs can help these artisan entrepreneurs to navigate their ventures' internationalisation.

Sampling strategies

The case firms were selected through purposive sampling (Patton, 2015). The researchers ensured that all case firms were small firms with fewer than 50 employees (European Union, 2003). To meet the criterion of being rapidly internationalised, only those firms internationalised near their inception date and having at least 25% of their sales income through exports were selected (Cavusgil and Knight, 2015). As rapidly internationalised ventures enter their target markets early, they are likely to reach their post-entry or advanced internationalisation phase after around two to three years of international operation (Efrat and Shoham, 2012). Accordingly, case firms with at least three years of internationalisation history were chosen to ensure that the firms were in the advanced/post-entry phase of internationalisation. By relying on the online database of firms provided by "NepalB2B" and field visits to the Kathmandu Valley's export-oriented industrial area (between 2017 and 2018), nine purposive cases were selected. Following the guideline of Eisenhardt (1989), the researchers ensured that the theoretical saturation was achieved and stopped adding new cases when incremental learning was minimal. These case firms satisfied all the sampling criteria, and their entrepreneurs agreed to participate in an in-depth interview process.

Diverse case samples can help identify common patterns across various interest dimensions (Patton, 2015). Accordingly, firms from varied industrial backgrounds within the artisanal sector were selected (e.g. handmade paper, paintings and essential oils). Table 1 below provides details of the case firms. Furthermore, the selected entrepreneurs have diverse professional, education, age and family/ethnic background. Table 2 gives an overview of the entrepreneurs and their diversity.

Data materials

In-depth semi-structured interviews were conducted with the case entrepreneurs. The interviews lasted between 30 and 120 min, and they were recorded electronically. The interview questions were open-ended, allowing covering details about the case entrepreneurs, case firms and their internationalisation strategies. Interview questions, for example, include: "How did you start your current venture?"; "Can you please tell us about your firm?"; "How did your firm start to go international?" Interviewees were asked to share the relevant stories connected with their firms' international growth, current clients/foreign markets and applied key internationalisation strategies. The interviewees' stories helped in understanding the nature of entrepreneurs' DCs and their implications on firms' internationalisation.

Information was collected from multiple sources to minimise the retrospective bias and ensure data triangulation. For instance, real-time data was gathered through observations of selected case firms (see Table 3). The observations of firms' sales outlets and warehouses helped in understanding the firms' artisan products. Additionally, observations were made regarding how the case entrepreneurs interacted with foreign tourists and other clients who stopped by the firms' sales outlets. The factories of three firms were visited, which allowed interactions with employees/artisans and a detailed understanding of how artisans make their products. During these observations, the researcher wrote fieldnotes and took photos and videos. Besides the primary data sources, additional information (about case

	Established year – First export	Industry and products offered	Number of employees	Export to total sales (%)	Major foreign markets
Firm A	1998–1998	Manufacturer and exporter of cashmere shawls and sweaters	45	100	Norway, Switzerland, Czech Republic and Taiwan
Firm B	2008–2011	Manufacturer and exporter of handmade knit apparel and fashion accessories	30–50	50–60	US, Canada, China, Australia and Italy
Firm C	1996–1996	Exporter/promoter of several handicraft items, including silver jewellery and singing bowls	2	100	Germany, Australia, US, Japan and Poland
Firm D	2006–2007	Producer and exporter of handmade paper products	18	70	US, Netherlands, Australia, UK
Firm E	1999–1999	Exporter/promoter of handmade metallic and wooden crafts items	7	100	US, Finland, UK, China, Thailand, and Germany
Firm F	2013–2013	Manufacturer and exporter of handmade accessory items, including money bags, money belts and hammocks	15	80	Spain, Italy, Germany, South Africa and Switzerland
Firm G	2010–2010	Producer and exporter of essential oils	40	100	US, Germany, Italy, France and Japan
Firm H	2012–2012	Producer and exporter of essential oils	25	90	US, Japan, Singapore, Taiwan, Hong Kong and Germany
Firm I	2010–2012	Manufacturer and exporter of <i>thangka</i> paintings	2	90	Italy, Germany, Portugal and France

Table 1.
Case firms' profiles

Note(s): Case firms' names are anonymised

entrepreneurs, their firms, products, main clients and suppliers) was gathered from websites, social media profiles and YouTube videos whenever it was feasible. Such data were consistently applied to triangulate the information obtained from interviews. Overall, the combination of primary and secondary data strengthens the validity and reliability of this research. [Table 3](#) provides an overview of applied data materials.

Data analysis

The researchers followed [Gioia et al. \(2013\)](#) method for data analysis. This method is built on inductive grounded logic ([Corbin and Strauss, 2015](#)). Initially, each firm's interview transcripts, fieldnotes and available secondary data were compiled. Subsequently, the within-case analysis was performed by carefully reviewing the transcripts. In this process, the quotes that reflected the case entrepreneurs' DCs were highlighted and coded. Afterwards, the coded documents were compared and evaluated for possible conceptual patterns across the cases, which led to the development of first-order codes ([Gioia et al., 2013](#)). Subsequently, first-order codes were grouped to produce a set of second-order themes. For example, the first-order codes representing the entrepreneurs' swift communication skills and their network-building skills across their sales outlets, international trade fairs and internet-based tools

Firm Code	Age range	Highest education attained	Studied/Lived abroad	Prior venture experience	Prior work experience in the artisanal sector	A short background of the entrepreneurs
Firm A	50–60	Master, Public Administration		×	×	Before establishing Firm A, he gained diverse professional work experiences, including as a senior air traffic controller, law practitioner, communication officer and business partner in a woollen sweater exporting firm
Firm B	40–50	Master, Sociology	×		×	He earned his bachelor's degree from Sri Lank and master's degree from Nepal. Previously, he worked as a school teacher and manager of his parents' knit and apparel manufacturing firm
Firm C	50–60	Bachelor, Commerce	×	×		Formerly, he was involved in the Chinese products' business and ran his own travel tour and restaurant business. He also lived in Japan for one year before establishing Firm C
Firm D	30–40	No formal education			×	He is from a Lama family (known for their devotion to Buddhism). At the age of just six, he moved to Kathmandu to pursue Lama education. After eight years of study, he returned to his village but did not like it there. Thus, he returned to Kathmandu again and started working in his cousin's handmade paper exporting firm. Later, he established Firm D
Firm E	30–40	MBA, Finance	×		×	He started to work in his father's exporting venture when he was only 16. He then moved to India for study. After his return to Nepal, he established Firm E to bring innovation to the artisanal sector
Firm F	20–30	Diploma, Pharmacy	×		×	Previously, he worked as a marketing officer in a fabric manufacturing company run by his uncle. Later, he moved to the United Kingdom to pursue his study. After returning from the United Kingdom, he established Firm F
Firm G	40–50	MBA, Investment Management	×			His family and ancestors were involved in herbal drug manufacturing. After his bachelor's degree, he went to India to pursue an MBA. Following graduation, he worked in a multinational portfolio management company. He then returned to Nepal and established Firm G

(continued)

Table 2.
Case entrepreneurs'
characteristics and
background

Firm Code	Age range	Highest education attained	Studied/ Lived abroad	Prior venture experience	Prior work experience in the artisanal sector	A short background of the entrepreneurs
Firm H	30–40	Master, Business Studies				Initially, he worked in a software company for around three years. Later, he established Firm H by following inspiration from his US-based brother. His brother holds a PhD specialising in essential oils and works as an essential oil scientist in the US
Firm I	40–50	Middle School		×	×	From his parents, he acquired knowledge of thangka—a painting that depicts Buddhism’s facts. Before establishing this venture, he also partnered and worked in a thangka art firm in Kathmandu

Table 2. Note(s): × = Yes

were arranged into the second-order theme “network-building capability”. The researchers continuously iterated between the data and existing literature to derive second-order themes (Gioia *et al.*, 2013). Finally, the links were searched amongst second-order themes so they could be combined further into aggregate dimensions. Two dimensions emerged as theoretical constructs: *enabling entrepreneurial internationalisation and sustaining entrepreneurial internationalisation*.

Case findings and discussion

As shown in Figure 1, the data suggest that entrepreneurs’ DCs play two vital roles: (1) enabling small firms’ entrepreneurial internationalisation near the time of their foundation and (2) sustaining their internationalisation as these firms mature. The following section of the article elaborates on these roles and the types of DCs associated with them.

Enabling entrepreneurial internationalisation

Figure 1 shows that enabling entrepreneurial internationalisation is abstracted from three conceptual constructs: network-utilisation capability, network-building capability and marketing capability. The section below elaborates on each construct and illustrates how each enabled the case firms’ internationalisation.

Network-utilisation capability

The data suggest that the entrepreneurs’ network-utilisation capability was pivotal during their firms’ early internationalisation. The entrepreneurs of Firm B, D and E previously worked in similar artisanal firms run by their family members. Their ability to leverage existing social networks’ benefits was crucial to acquiring the industry’s tacit knowledge and conducting export business. Entrepreneurs’ diverse social networks and their reputations in their communities often determine their ability to attract resource partners (Brush *et al.*, 2001). Firm E’s entrepreneur said:

My father and grandfather are renowned names in the local communities. They had an established network with over 200 local artisans and craft-making families, which was a privilege for me to

	Number of interviews	Observations of factory	Observations of outlets	Observations of sales warehouse	Firms' websites	YouTube videos about firms	Social media profiles of firms/entrepreneurs
Firm A	2	×		×	×		×
Firm B	1		×	×		×	×
Firm C	2			×	×		×
Firm D	1				×		×
Firm E	2				×		×
Firm F	1		×	×			×
Firm G	1	×		×	×	×	×
Firm H	1			×	×	×	×
Firm I	1	×	×	×	×		×
Note(s): × = visited/observed							

Table 3.
Details of the data
sources

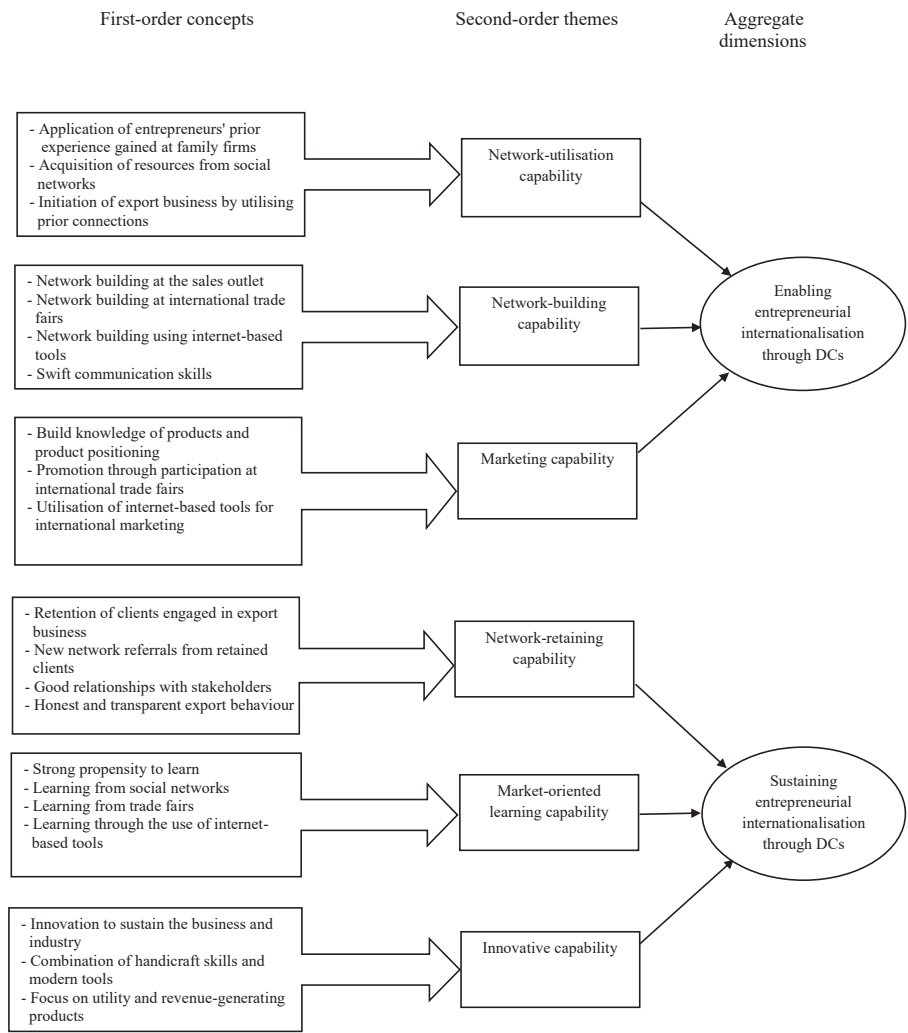


Figure 1.
The data structure of
DCs' implications in
small firms'
entrepreneurial
internationalisation

establish this firm. I did not have to introduce myself or provide my identity in the communities. The background and reputation of my parents helped to build my confidence in the craft export business and to gain the trust of local artisans and suppliers.

The entrepreneurs' ability to leverage their diverse networks was critical to minimising resource uncertainty, particularly in the early development phase. Firm H's entrepreneur successfully started and grew his venture by utilising technical and market expertise from his US-based brother—who is an essential oil scientist (see Figure 2). Moreover, Firm D's entrepreneur acquired technical and business knowledge of running a handmade paper exporting firm from his cousin. Firm A's entrepreneur received financial help from his brother to establish his venture. He started to export by selling to importers from Canada and the United States, with whom he had relationships from previous entrepreneurial

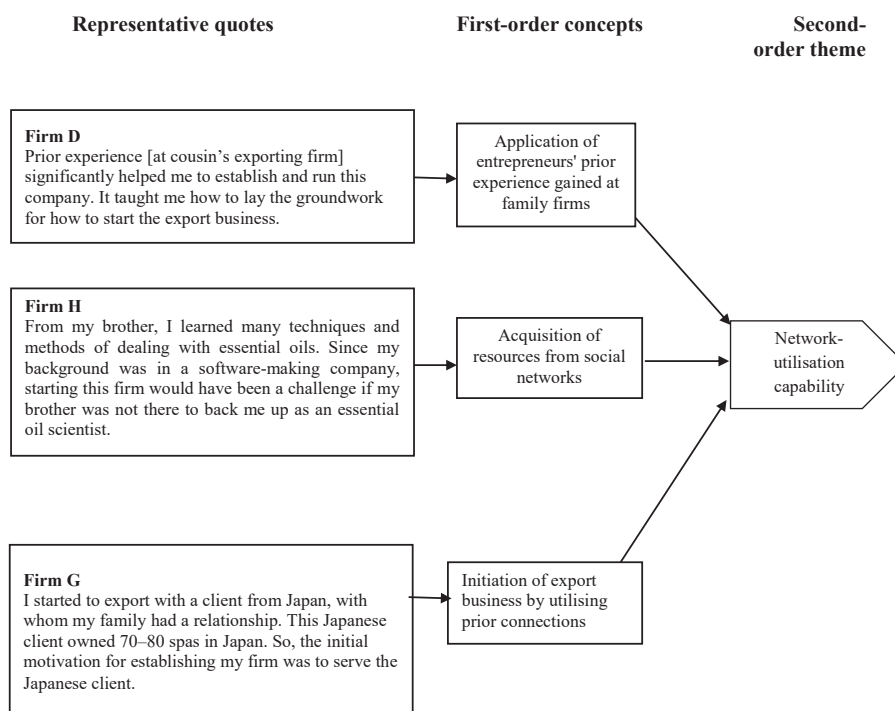


Figure 2.
The data structure of
network-utilisation
capability

experiences. Likewise, Firm G commenced its internationalisation by exporting to a Japanese client with whom its entrepreneur had a family connection. The examples mentioned above and presented in Figure 2 illustrate that case entrepreneurs are good at utilising their networks.

The data tell that Firm's C entrepreneur lived in Japan for one year. By leveraging the network built in Japan, he started to export by selling to a Japanese client. Similarly, Firm G's entrepreneur, a returnee from India, revealed that he built networking skills with people worldwide while studying for an MBA in India. Unlike other entrepreneurs, Firm D's and Firm I's entrepreneurs have limited school/formal education (see Table 2). Both these entrepreneurs admitted that they had little English language expertise in the early days, and it used to be challenging for them to deal with importers. To overcome this challenge, Firm I's entrepreneur leveraged his uncle's help to establish business relationships with foreign tourists who came to Firm I's sales outlet.

Thus, entrepreneurs' existing networks were essential for their firms' early international growth. However, merely having a network may not guarantee or enable a firms' internationalisation. The data suggest that entrepreneurs should be able to sense opportunities in their diverse networks and seize these opportunities by motivating network partners to contribute resources to their internationalisation efforts. This discussion leads to the following proposition:

- P1.* Entrepreneurs' ability to sense and leverage the benefits of their existing diverse social networks is an essential DC that is pivotal to resolving the resource uncertainty of small artisanal firms and enabling their entrepreneurial internationalisation.

Network-building capability

The entrepreneurs' network-building capability was vital to enabling their firms' early international growth. Network-building capability refers to entrepreneurs' ability to build trust-oriented, interactive and communicative relationships with stakeholders (Weerawardena *et al.*, 2007). The export business of Firm A, C, E, G and H grew when their respective entrepreneurs developed network connections with foreign importers using internet-based tools (e.g. email enquiries, online business portals). Figure 3 shows that Firm B stimulated and grew its export business when its entrepreneurs developed network connections with foreign tourists who visited the firms' sales outlets in Kathmandu. Firm F's entrepreneur reported:

We started exporting by selling to a Portugal-based Nepali diaspora, with whom we had a previous network. However, our export mainly grew by developing network ties with foreign tourists who visited our firm's sales outlet in Kathmandu. These tourists were from Italy, Spain, Germany and South Africa and became regular importers for our firm.

The data tell that the entrepreneurs of Firm A, C, E, G, H and I began participating in international trade fairs during their firms' early years, which was crucial for building network connections with foreign importers. Firm D's entrepreneur developed a friendship and later business relationship with a Dutch individual who travelled to Nepal for trekking. These examples illustrate that the entrepreneurs' ability to build networks with importers was crucial. However, the data indicate that network building requires specific social and communication skills (e.g. friendly behaviour, swift responses to importers' sales enquiries and regular follow-up) along with the ability to understand the available resource opportunities and other benefits in networks. Accordingly, the following proposition is made:

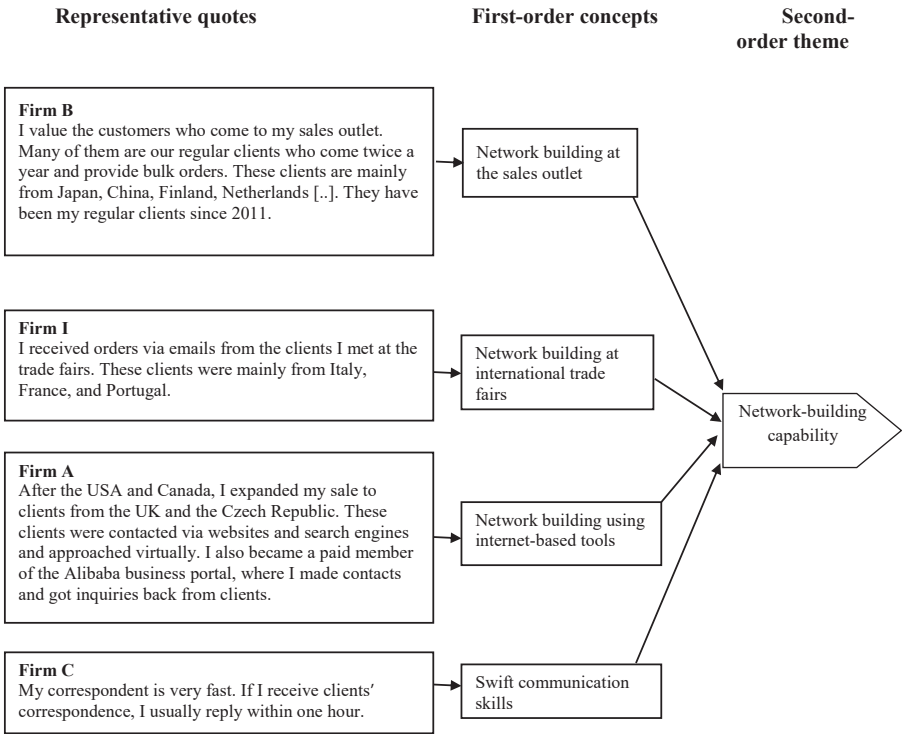


Figure 3.
The data structure of
network-building
capability

- P2. Entrepreneurs' ability to attract and build networks with foreign importers is a crucial DC that plays an important role in enabling the entrepreneurial internationalisation of small artisanal firms.

Marketing capability

The entrepreneurs' marketing capability was crucial for their firms' entrepreneurial internationalisation. Marketing capability results from an integrative process that applies collective knowledge, skills and resources to market-related business needs (Weerawardena *et al.*, 2007; Evers *et al.*, 2012). It includes the ability to effectively formulate marketing strategies, including product development, pricing, sales and promotion and channel management (Day, 1994). The entrepreneurs targeted niche international customers and produced unique, low-cost, yet high-quality artisanal products. Furthermore, the entrepreneurs of Firm A, C, D, E, G and H extensively utilised internet-based tools to market their products and develop network relationships with clients. Likewise, entrepreneurs of Firm B and F strongly marketed their products to foreign tourists who stopped by their sales outlets. The firms' product distribution processes were fast and smooth, mainly through air cargo and international courier services. The entrepreneurs developed this marketing capability both through prior experiences and while running their current exporting firms. Firm B's entrepreneur said:

Initially, we were mostly making local sales and dealing with foreign tourists at the sales outlet. However, later, I realised that without the right business model and proper marketing techniques, it is impossible to succeed in any business. Thus, from 2011, I started to prioritise international marketing by attending international trade fairs and using internet-based marketing tools.

The entrepreneurs were keen on utilising international trade fairs to share their businesses' stories with potential global customers. Firm H's entrepreneur argues that trade fairs enable face-to-face communication and ease to establish a network with clients who live far away (see Figure 4). Firm I's entrepreneur attended several trade fairs in Italy and China, which helped his export business to flourish. Firm G's entrepreneur has participated at international trade fairs in India and France. Although Firm D's entrepreneur desperately wanted to participate in international trade fairs in the USA and UK, he did not get visas to travel to these countries. Nonetheless, he attended fairs organised in Nepal. He also made a regular effort to build more network connections with foreign importers via internet-based tools. Thus, entrepreneurs' ability to create unique products and market them to geographically dispersed niche customers through platforms like international trade fairs and internet-based tools was crucial to accelerating their firms' internationalisation. Based on the discussion, the following proposition is made:

- P3. Entrepreneurs' marketing capability is an essential DC that plays a vital role in enabling the entrepreneurial internationalisation of small artisanal firms.

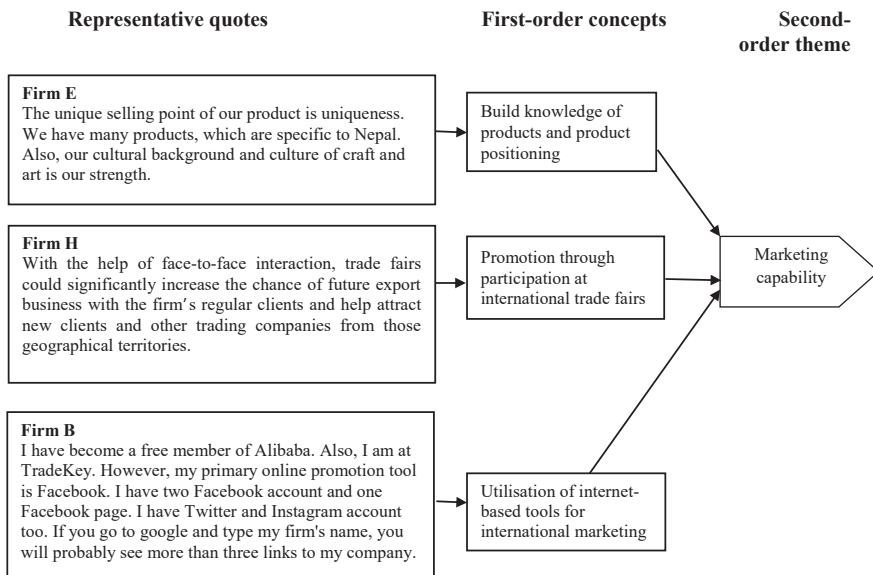
Sustaining entrepreneurial internationalisation

Figure 1 illustrates that the second aggregate dimension is abstracted from three conceptual constructs: network-retaining capability, market-oriented learning capability and innovative capability. The next section elaborates on how each of these constructs helped sustain the firms' international growth.

Network-retaining capability

As the firms matured, the entrepreneurs' network-retaining capability seemed critical to sustaining their entrepreneurial internationalisation. Firm C's, E's and I's entrepreneurs have retained networks with local craft workers and craft manufacturing families in the

Figure 4.
The data structure of
marketing capability



Kathmandu Valley who do informal contract-based manufacturing for these entrepreneurs' firms when needed. Moreover, these entrepreneurs have conducted business with their regular importers over a prolonged period. Firm H's entrepreneur has been doing regular business with his buyers from Japan, the USA and Taiwan. Likewise, clients from the United Kingdom, Italy, China, South Africa and Australia have regularly bought from Firm B since 2011. Similarly, importers from the United Kingdom and the United States, with whom Firm D's entrepreneur developed relationships through online-based tools have consistently done business with Firm D.

The data tell that a few Norwegian clients have been importing from Firm A for six years. One of these retained Norwegian clients even introduced Firm A's entrepreneur to two other importers from Norway. A retained Dutch client recommended several other new clients from the Netherlands to Firm D. Figure 5 shows that Firm F's entrepreneur has a good relationship with a private cargo-service firm in Kathmandu that helps export firms send products abroad. This cargo firm often recommends foreign clients to buy from Firm F. These examples illustrate that the entrepreneurs' abilities to keep loyal and profitable clients and maintain good relationships with stakeholders are vital to generating new business opportunities via network referrals. Thus, retaining existing clients is crucial to sustaining firms' international growth, particularly in the mature stage (Andersson *et al.*, 2020; Khan and Lew, 2018). By stressing his network-retention capability, Firm E's entrepreneur said:

I have to admit that I am good at retaining my clients. I do not want to brag about it, as this is a response from the market and my buyers. For customer retention, you need to offer quality products and focus on timely delivery. Giving better service is very important, especially if you are a small-scale exporter who does not even own a factory.

Small artisanal firms from developing economies are often resource-poor and suffer from home-institutional barriers making it challenging to seek importers and stakeholders (e.g. suppliers) when they strive to export. Therefore, their entrepreneurs should actively engage with importers, suppliers and other social contacts to sustain their international growth and

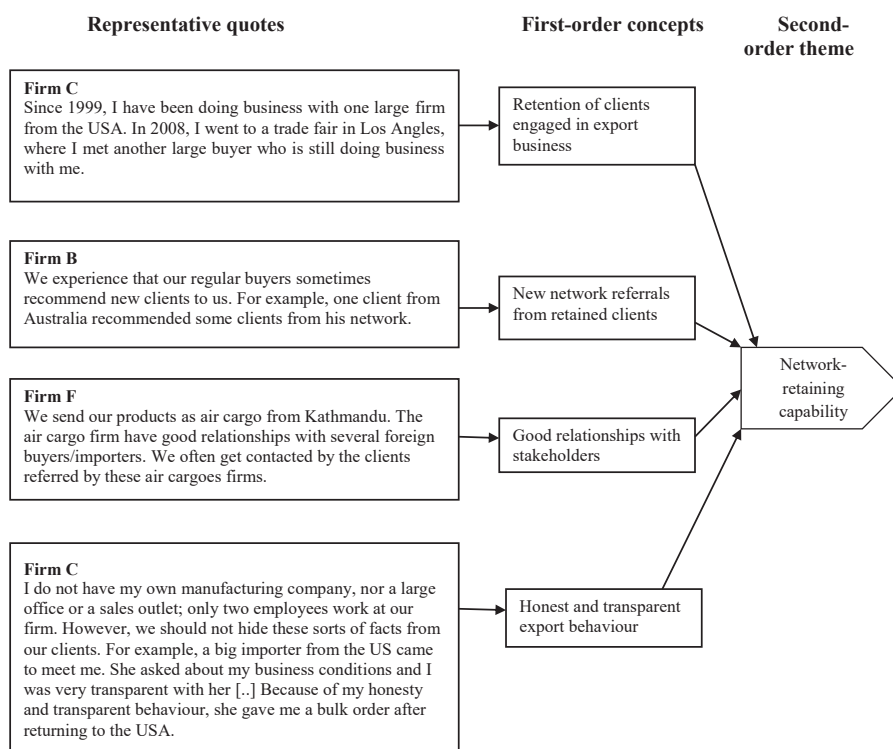


Figure 5.
The data structure of
network-retaining
capability

generate solutions to their business problems. Also, to retain importers, entrepreneurs need to consistently offer high-quality products, meet timely delivery deadlines, exhibit honest and transparent export behaviours and have excellent communication skills. This discussion leads to the following proposition:

- P4.* Entrepreneurs' ability to nurture and retain their existing networks of importers and suppliers is an essential DC that is crucial to sustaining the entrepreneurial internationalisation of small artisanal firms.

Market-oriented learning capability

Market-oriented learning capability was crucial to sustaining the firms' entrepreneurial internationalisation. This capability is associated with entrepreneurs' ability to acquire, disseminate and integrate market information to add value and meet competitive demands (Weerawardena *et al.*, 2007). Market-oriented learning capability helped the case entrepreneurs to gain awareness about changes in their external environments and reconfigure their resources to tackle such changes. Firm C's entrepreneur said:

A few years back, with an increase in the price of silver, a silver bracelet that used to cost 20 dollars started to cost around 40 dollars, which was difficult to sell for my importers and me. To tackle that, I consulted with my importers and began to design bracelets with a mix of other similar white metals. The new bracelet design was still attractive with the use of silver plating. By doing this, a silver bracelet that used to cost 40 dollars before started to cost only four dollars. The importer, who used to buy 40 pieces, began to order 4,000 pieces, which increased my sales growth and profit margin.

Furthermore, Firm D, E and F entrepreneurs have prior experience in similar exporting firms run by their family members, which provided them crucial opportunities to learn about their respective industries and the procedures for participating in the export business. With the help of learning, entrepreneurs transform new experiences into valuable knowledge (Tiwari and Korneliussen, 2018). The entrepreneurs of Firm A, B, C, E, G, H and I have a strong learning orientation. They continue to update their knowledge sets by attending international trade fairs and using internet-based tools. Figure 6 shows that Firm B's entrepreneur often participates in international trade fairs to sell products, build network relationships with clients and observe/learn new trends in global markets.

Entrepreneurs develop market-oriented learning capability by repeatedly applying their knowledge to solve emerging marketing problems. Firm D's entrepreneur argued that following the rise of digital technologies and social media (e.g. Facebook and LinkedIn), customers have been declining using paper-based products—such as photo albums, postcards and business cards. Thus, to tackle this emerging problem, Firm D's entrepreneur developed innovative handmade paper-based products, including wrapping sheets, shopping and wine bags and several paper-based decorative items.

Entrepreneurs' ability to continuously learn about the market and reconfigure firms' resources accordingly is vital for international ventures' growth and survival. The case entrepreneurs employed various platforms, such as international trade fairs, internet-based tools and family and friends' networks to learn about changes in their external environments and emerging market trends. Building on this discussion, the following proposition is made:

- P5. Entrepreneurs' market-oriented learning capability is an essential DC that helps sustain the entrepreneurial internationalisation of small artisanal firms by enabling them to reconfigure existing resources—and respond to changes in their external environments.

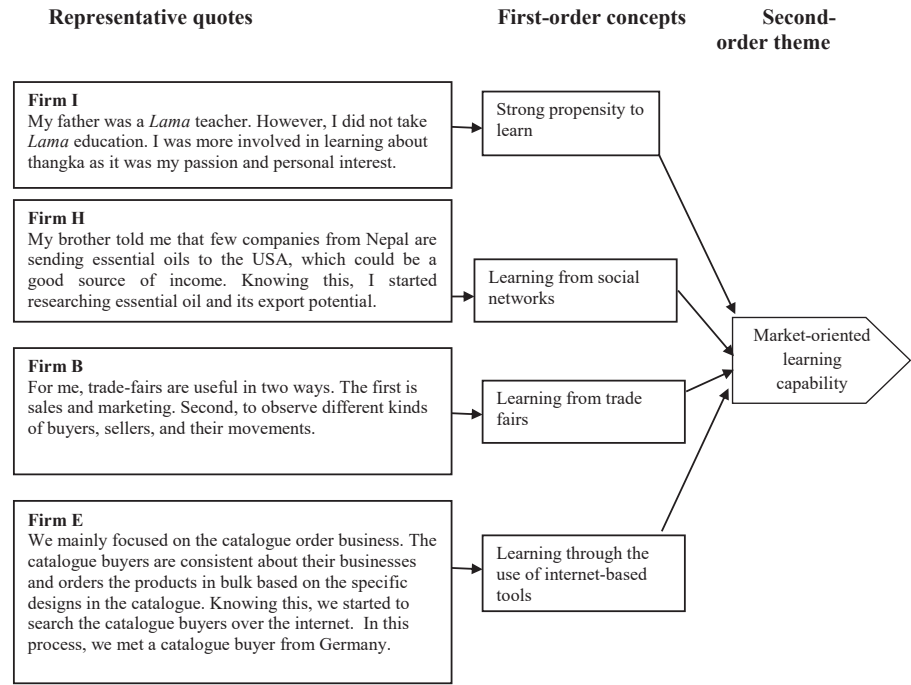


Figure 6.
The data structure of
market-oriented
learning capability

Innovative capability

The data indicate that changes in customers' needs and the external environment can be significant sources of opportunities for firms. However, to exploit such opportunities, entrepreneurs need to build and apply their innovative capability, which can be related to "the ability to continuously transform knowledge and ideas into new products, processes and systems for the benefit of the firm and its stakeholders" (Lawson and Samson, 2001, p. 384). Figure 7 shows that innovation can be applied in terms of product variation and the application of new technologies in craft items. Firm E's entrepreneur argued that most artisanal products are luxurious one-time-purchase goods (e.g. statues of gods). Thus, he realised the importance of product innovation to generate more utility and revenue-generating products. He elaborated:

We started doing silver jewellery and other craft items that could offer higher utility to consumers and generate repeat purchases. Silver jewellery fades away over time, and new designs are continuously emerging. We also deal with Buddhist items like singing bowls, *thangka*, bells and prayer wheels; unlike statues, these products are inexpensive and can serve multiple purposes, including fashion, decoration, meditation and gift-giving.

Small firms operating in the artisanal sector of a developing economy are often too resource-poor to make significant investments in research and development (Shafi, 2020). Besides, they have weak home-institutional supports to carry out innovative activities. Entrepreneurs are likely to be key players in facilitating innovation in this situation. Firm B's entrepreneur stated:

All our products are based on the magic concept. I created this concept on my own. The theme of magic is that you can use or wear the products in more than one style. Whatever we produce—for example, headbands, shawls, scarfs—we rely on the magic theme, which is our unique selling proposition.

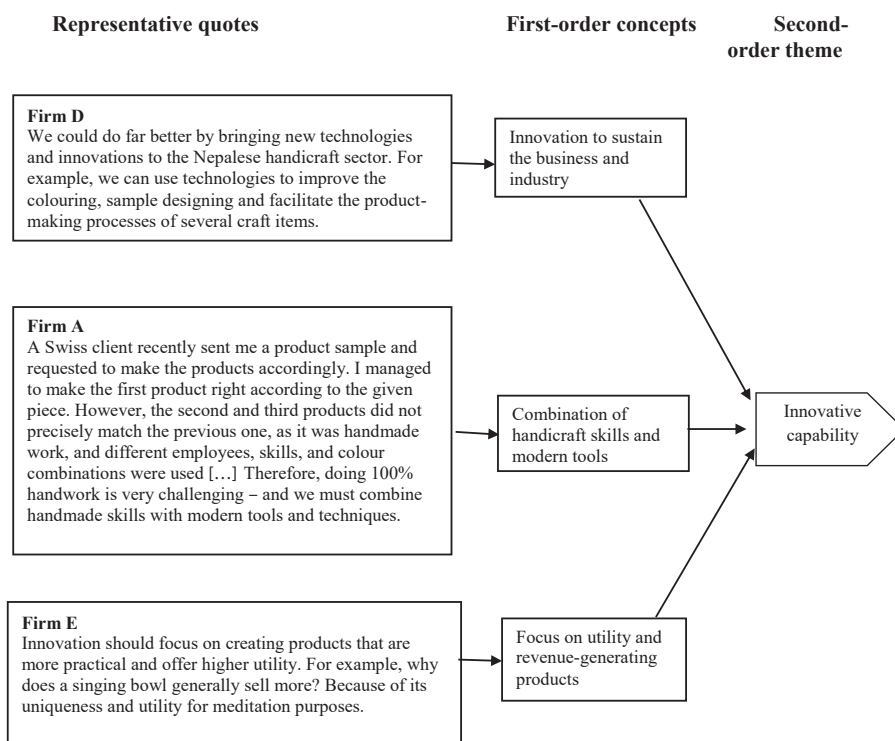


Figure 7.
The data structure of
innovative capability

Furthermore, social networks and interactions amongst individuals can facilitate the development of new capabilities by promoting a steady flow of information from various external sources (Blyler and Coff, 2003). Networks and interactions are even more crucial for small artisanal firms in a developing economy, as they can generally barely afford research and development. Firm F's entrepreneur exemplified:

Our one regular client, based in Switzerland, suggested that we make handmade hammocks. He even gave us a little training session regarding the design of such a hammock, which we found to be an innovative concept.

Prior research argues that acquiring other companies with complementary resources can be a critical strategy for international ventures' survival (Oyna *et al.*, 2018). However, the present study indicates that small firms can reconfigure their existing resources according to the turbulent environment and increase the chance of export survivability by following innovative strategies and developing a few specific/niche products with superior designs. Sui and Baum (2014) suggest that innovation is a key to the survival of small exporting firms. Thus, small international ventures' competitive strength and long-term competitive advantages are likely contingent upon their entrepreneurs' abilities to build and apply innovative capability. Based on the discussion, the following proposition is made:

- P6. Entrepreneurs' innovative capability—to develop revenue-generating niche products—is an essential DC to sustain the entrepreneurial internationalisation of small artisanal firms.

Implications and conclusion

Theoretical implications

This paper explores the development and deployment of entrepreneurs' DCs in small Nepalese artisanal ventures. By focussing on a lower and more detailed level of DCs, the paper advances DCs' micro-foundations literature, which is still sparsely researched and understood (Kevill *et al.*, 2017; Felin *et al.*, 2012). First, the article unravels how entrepreneurs build and apply network-utilisation, network-building and marketing capabilities to enable small firms' entrepreneurial internationalisation. Subsequently, the paper explores how network-retaining, market-oriented learning and innovative capabilities are built and applied by entrepreneurs to sustain firms' internationalisation. The fine-grained analysis of the obtained findings and emerging theoretical propositions from this research shed essential light on how six DCs are built and applied in small firms' entrepreneurial internationalisation context and thereby extends DCs' micro-foundations literature.

Similarly, this study advances the current understanding of entrepreneurial internationalisation in developing economies, which is still scantily researched (Chandra *et al.*, 2020). Even though small ventures in developing economies are likely to suffer the liability of smallness, the liability of outsidership and home-institutional voids, entrepreneurs' DCs can help these firms leverage early international growth opportunities. Moreover, the article sheds light on what small firms' entrepreneurs can do to maintain their firms' international growth—as these firms mature. This research article shows that entrepreneurs should build and apply network-retaining, market-oriented learning and innovative capabilities to sustain their firms' entrepreneurial internationalisation. In doing so, the paper contributes to augmenting the existing entrepreneurial internationalisation literature, which has not paid sufficient attention to international ventures' post-entry growth and survival strategies (Khan and Lew, 2018). Furthermore, by exploring the connection between DCs and international ventures' survival, this study answers a recent research call by Kahiya and Warwood (2022).

Artisan entrepreneurs are known as lifestyle seekers (Tregear, 2005). Thus, it is often argued that culture and lifestyle benefits drive artisan ventures rather than growth or economic

reasons (Ratten *et al.*, 2019; Tregear, 2005). Nonetheless, this study adds to the emerging debate on the need for more research about growth-aspiring artisan entrepreneurs (Pret and Cogan, 2019). Accordingly, this research helps build a crucial understanding of artisan entrepreneurs who possess commercial values and an international growth-oriented mindset. Despite economic and cultural significance, artisan firms' growth is challenging, given small size and resource limitations (Shafi, 2020). In this regard, to enable and sustain artisanal firms' entrepreneurial internationalisation, this study suggests that artisan entrepreneurs need to be strategic and focus on building and applying DCs very early. This article's findings and six propositions offer unique insights into DCs' implications in international artisan ventures, contributing to artisan entrepreneurship literature in a developing economy context.

Implications for practitioners and policymakers

This paper offers useful guidelines for practitioners regarding which DCs are vital in the different phases of small international ventures—and how to build and apply these DCs. For example, the article suggests that innovative capability is crucial to sustaining firms' entrepreneurial internationalisation. The paper further argues that entrepreneurs should focus on interactive learning and networking with customers and suppliers to build and apply this innovative capability. International trade fairs are a crucial platform to build and apply DCs. However, for small artisanal entrepreneurs in developing economies, trade fairs can be costly to attend, particularly those arranged in developed countries (e.g. European countries, USA). Some artisan entrepreneurs in developing economies may also struggle to obtain visas to participate in international trade fairs in developed countries. In this regard, leveraging internet-based tools (such as email enquiries, online business portals, websites, Facebook pages and other forms of social media) and developing networks with foreign tourists who visit the firm's sales outlet can be essential. These methods are also low-cost alternatives for artisanal entrepreneurs to build network relationships with foreign importers. Thus, the concerned government organisations and policymakers in developing economies should make substantial efforts to create a platform where small artisanal entrepreneurs can improve their internet-based marketing and networking skills.

Limitations and future research opportunities

This article utilises the context of small Nepalese artisanal ventures with a limited number of cases. Thus, to increase the transferability and generalisability of the propositions developed they should be empirically validated across different settings, including cross-country and cross-sector samples. Furthermore, this research only includes male entrepreneurs. Therefore, it will be interesting to include both male and female entrepreneurs in future research and explore if DCs' development and application vary across genders. Moreover, this research indicates that international tourism can help to facilitate artisan ventures' internationalisation. Thus, future research should examine the relationship between international tourism, international entrepreneurship and artisan entrepreneurship. Finally, while a certain level of innovation is essential to sustain artisanal firms' growth, irresponsible innovation can cause negative consequences, as artisan products often have cultural heritage embodied. A dark side of innovation and how it varies from sustainable or culturally responsible innovation in artisanal firms' internationalisation can thus be a promising avenue for future research.

Conclusion

This study suggests that entrepreneurs' DCs can play a crucial role in ensuring small ventures' early international growth and survival. To achieve this, entrepreneurs should be proactive and build and apply different sets of DCs based on the firm's internationalisation phase. The paper argues that entrepreneurs' network utilisation, network-building and

marketing capabilities enable firms' entrepreneurial internationalisation. Furthermore, entrepreneurs' network-retaining, market-oriented learning and innovative capabilities become pivotal for sustaining internationalisation as firms mature.

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